The Political Economy of Stagnation

Origins of the Salaried Class and the Inhibition of Economic Development in Assam

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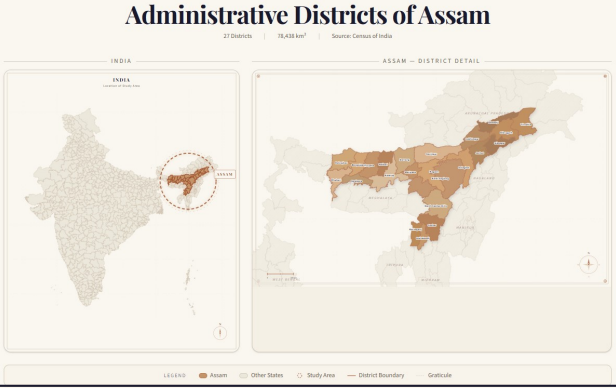
Where is Assam?



Indicator	Assam	India Avg	State Rank
Area (1000 km^2)	78.4	–	17th / 28
Population 2021 (M)	31.2	–	15th / 28
Per Capita Income (Rs)	107k	159k	**23rd / 28**

Introduction: The Assam Paradox

The Historical Reversal

- **Post-Independence:** Per capita income above national average
- **Current State:** Deficit widened to 45% by 1990s

Conventional Explanations:

- Geography: landlocked, poor connectivity
- Resource curse: tea monoculture

Structural Stagnation

Persistently low capital formation, sluggish industrialization, hypertrophied service sector unable to generate broad-based employment.

The Political Economy Thesis

Geography and resources cannot explain why Assam failed to develop an indigenous capitalist class or why the state became captured by rent-seeking salaried elites. Underdevelopment is the endogenous result of class hegemony—institutional arrangements created a state apparatus oriented toward patronage rather than productive investment.

The Path to Stagnation: A Historical Timeline

1228–1826	19th Century	20th Century	Present Day
Ahom Rule: Paik System (Corvée Labor)	Colonial Rupture: Monetization & Bengali Influx	Rent Protection: Ethno-nationalism & Conflict	Fiscal Crisis: High Committed Expenditure

Evolution of the Salaried/Bureaucratic "Proprietary" Class

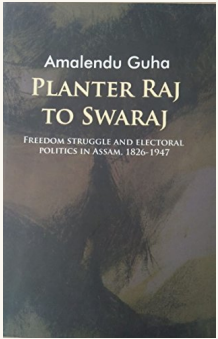
The Core Argument

Assam's economic trajectory was shaped by a historical path dependency that created an indigenous elite culturally averse to entrepreneurial risk , yet structurally incentivized to capture state resources through public sector employment.

Precolonial Foundations

The Ahom Paik System (1228-1826)

- **Corvée Economy:** Non-monetized labor utilization mechanism. Every adult male (*paik*) was obligated to render state service for cultivable land.
- **Egalitarian but Rigid:** No massive class of landless agricultural laborers existed (average peasant held 2.66 acres). The Neo-Vaishnavite movement thwarted rigid caste hierarchies.
- **Hereditary Administrative Hierarchy:** Key bureaucratic positions (Bora, Saikia, Phukan) were held by hereditary nobility.



The Ahom Administrative Classes & Paik Authority

Paik Officials & Their Command

Official	Paiks Commanded
Phukan	6,000
Rajkhowa	3,000
Hazarika	1,000
Saikia	100
Bora	20

These officials managed the corvée labor system reorganized in 1608.

Merit vs. Heredity

Unlike later colonial bureaucracies (which emphasized merit through examinations), the Ahom state relied exclusively on **hereditary merit**. Administrative positions were family inheritances, not competitive positions accessible to educated commoners.

Source: Sen, Debasis (1979). "A Few Aspects of the Ahom Military System." Proceedings of the Indian History Congress, 40: 552–556.

Paik Population Estimates (c. 1711)

Paiks (millions)	Male Population (millions)	Total Population (millions)
0.26	0.52	2.08
0.36	0.72	2.88
0.40	0.80	3.20

The Militia State

King Rudra Singha's militia register revealed that 260,000–400,000 paiks could be mobilized for warfare, representing a massive state apparatus built on corvée labor.

Overwhelmingly Rural

The capital city Rangpur had only 10,000 inhabitants in 1794. Urban population was estimated at less than 2% of the total—merchants and capitalists were virtually absent.

Pre-Colonial Trade: Bengal-Ahom Exchange

Exports from Bengal			Imports from Assam		
Good	**Quantity**	**Value**	**Good**	**Quantity**	**Value**
Salt	35	192.5	Stick-lac	10	35.0
Ghi	1	1.6	Raw Cotton	7	35.0
Fine pulses	—	0.8	Muga Silk	0.1	28.9
Sugar, Spices	—	2.0	Mustard	15	20.0
Copper	—	4.8	Ivory	—	6.5
Red bead, paints	—	1.5	Bell-metal vessels	—	2.1
Stone beads	—	8.0	Black Pepper	0.1	0.8
European glassware	—	2.5	Indian madder	—	0.5
Muslin	—	10.0	Thaikal	—	0.1
Other luxury	—	4.5	Slaves	—	2.0
Subtotal		**228.2**	**Subtotal**		**130.9**
Cowries	0.1	—	Gold & Silver	—	**97.4**
Total		**228.3**	**Total**		**228.3**

Source: Hamilton (1940), Anglo-Assamese Relations. Values in thousands of rupees.

No Merchant Class?

Assam ran a persistent trade deficit of 97,400 rupees, paid exclusively in gold and silver bullion. Unlike Gujarat (which had Rs. 16 million in trade via Surat), Assam had minimal global trade presence and virtually no merchant class to develop indigenous capitalism.

Colonial Rupture

Monetization and Linguistic Displacement

The Administrative Shock

– British imposed a monetized economy and rational-legal bureaucracy.

– Assamese population lacked modern Western education.

– Colonial state imported English-educated Bengali professionals.

The Assamese Response

– Indigenous elites profoundly marginalized (Bengali imposed as court language, 1836).

– Elites rapidly embraced Western education to secure salaried state positions.

A State-Dependent Class

Unlike mercantile capitalists in western India, the Assamese middle class did not rise through mercantile trade or industrial innovation. Their prestige and security were directly tied to colonial state proximity and government salaries.

Theoretical Framework I

Bishnupriya Gupta: Educational Bias & Service-Led Growth

The Historical Roots of Services

- Challenges the assumption that service-led growth was triggered by 1990s economic liberalization; it possesses deep historical roots.
- **Productivity Divergence:** Between 1870 and 1970, Indian agriculture plummeted, but comparative labor productivity in the service sector consistently rose from 15% to 30% of the UK level.

The Colonial Education Matrix

- The colonial state underinvested in mass primary education, which is the foundational prerequisite for an industrial or agricultural transition.
- Instead, education was heavily biased toward secondary and tertiary levels, catering exclusively to elites desiring rent-yielding administrative positions.

The Assamese Manifestation

Educational Credentials for Rent Extraction

Province/Region	Literate in English (Per 10,000 Males)
Assam	**87**
Bombay	60
Mysore	51
Madras	44
Bengal	35
Central Provinces	18

Source: Gupta (2025).

The Educational Paradox in Assam

Assam produced a highly educated elite whose skill sets were exclusively tailored for the tertiary service sector. Because they culturally eschewed commerce, their human capital was never deployed to create manufacturing firms or logistics networks. Instead, education was deployed strictly as a credential to extract salaries from the state.

Theoretical Framework II

Pranab Bardhan: Dominant Proprietary Classes (1984)

The Rent-Seeking Coalition

Bardhan argues Indian state policy is dictated by a frequently conflicting coalition of three "dominant proprietary classes":

- Industrial Capitalists
- Rich Farmers
- **Public Sector Professionals**

Educational credentials and permanent government positions function precisely as a form of property that yields continuous economic rents.

The Collective Action Problem

This elite coalition exerts immense pressure on the state to distribute patronage and allocate subsidies.

Result: The state becomes paralyzed. It cannot pursue long-term, capital-accumulating macroeconomic policies because its fiscal resources are constantly drained to satisfy immediate rent-seeking demands.

The Monopoly of the Salariat

Applying Bardhan to Assam

The Missing Classes

- **No Capitalists:** The Assamese failed to develop an industrial class. Commerce was left to immigrants who possessed wealth but lacked indigenous political legitimacy to dictate state policy openly.
- **No Powerful Landlords:** The British Ryotwari system prevented the emergence of a politically powerful class of landed gentry or absentee landlords.

Unrivaled Hegemony

With both capitalists and rich farmers absent, the third leg of Bardhan's triad—the professional salaried class—achieved an unrivaled, monopolistic hegemony over Assam's political economy.

State Capture: Without capitalists demanding infrastructure, the state was transformed into a vast, inefficient employment exchange.

Ethno-Nationalism as Rent Protection

Vulnerability of the Salariat

The Assamese salariat had no private industrial base or mercantile networks. Any perceived demographic threat to their monopoly over government jobs was viewed as a literal existential crisis.

- **Identity Politics:** The salariat mobilized sub-nationalist movements (language agitations, the Assam Movement) to carve out protected administrative territories guaranteeing preferential treatment in public employment.

Behavioral Economics of Conflict

- Exposure to extreme violence fundamentally alters attitudes toward risk-taking and reduces cooperative behavior.
- Strikes and systemic extortion drive away private investment.
- Without private sector growth, youth are forced to double down on demands for government jobs.

Conclusion

1. **Path Dependency:** Assam's pre-colonial Paik system created a cultural affinity for state patronage.

2. **Class Hegemony:** Without capitalists or powerful landlords, the professional salariat achieved monopolistic control over the state apparatus.

3. **Post Colonial:** Segments of the middle class unable to access stable employment grew increasingly dissatisfied, pressing the state for quotas through anti-migrant "sons-of-soil" movements (Fernandes 2006). In Assam, from the 1950s–1970s, middle class movements centered explicitly on job scarcity, reinforcing the structural dependence on state patronage.

3. **As Things Stand:** NRC & CAA Protests

Thank You

Questions & Discussion

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